

The case for American exceptionalism: Why US markets can continue to lead the global economy

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/equity/the-case-for-american-exceptionalism>

Extraction method: selenium

The case for American exceptionalism: Why US markets can continue to lead the global economy

Key takeaways

The US economy has demonstrated historical resilience across divergent economic policies—from the 1980s Reagan-era deregulation to post-global financial crisis reforms of the 2010s—underscoring the enduring strength of US financial markets and infrastructure.

Today's environment, marked by tariffs, trade tensions and a shifting geopolitical landscape, echoes past cycles. We believe the US economy and its companies continue to be powered by structural advantages and secular growth drivers.

In our view, American companies remain uniquely positioned to drive the next wave of global economic expansion, making US equity exposure worth consideration as a cornerstone of any diversified portfolio.

A durable edge in a shifting world

From the sweeping tax cuts and deregulation of the 1980s to the regulatory tightening of the 2010s, the US economy has weathered dramatic shifts in political and economic ideology. Yet through it all, one constant has remained: the resilience of the American economy and the power of its innovation ecosystem, which we discuss in this paper.

In 2025—a volatile year defined by macroeconomic headwinds and geopolitical recalibration—US equities have continued to deliver positive returns. While headlines have focused on trade tensions, elevated interest rates and fiscal uncertainty, both historical precedent and current market performance reinforce our core thesis that the enduring strength of US businesses and capital markets will likely drive global growth into the next decade.

The case for enduring US leadership

Over decades of change and growth, US equity markets have shown a remarkable ability to adapt and thrive. While the United States is by no means immune to global headwinds, its economy, institutions and corporations are uniquely equipped to navigate them. Anchored by a powerful innovation ecosystem, deep capital markets and world-class institutions, the US economy continues to lead the world.

In our view, US equities remain a vital cornerstone of any diversified portfolio—and a powerful engine for global growth.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Diversification does not guarantee a profit or protect against a loss.

Equity securities are subject to price fluctuation and possible loss of principal.

Large-capitalization or mega-cap companies may fall out of favor with investors based on market and economic conditions.

Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Investment strategies which incorporate the identification of thematic investment opportunities, and their performance, may be negatively impacted if the investment manager does not correctly identify such opportunities or if the theme develops in an unexpected manner. Focusing investments in the health care, information technology (IT) and/or technology-related industries carries much greater risks of adverse developments and price movements in such industries than a strategy that invests in a wider variety of industries.

Any companies and/or case studies referenced herein are used solely for illustrative purposes; any investment may or may not be currently held by any portfolio advised by Franklin Templeton. The information provided is not a recommendation or individual investment advice for any particular security, strategy, or investment product and is not an indication of the trading intent of any Franklin Templeton managed portfolio.

WF: 6537958

CONTRIBUTORS

Grant Bowers

Portfolio Manager, Franklin Equity Group® United States

Related Content

Explore other Franklin Equity Group Insights

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.